

Award
FINRA Dispute Resolution Services

In the Matter of the Arbitration Between:

Claimant

Robert Neil Gargiulo

Case Number: 25-00725

vs.

Respondents

LPL Financial LLC
Jane Ellen Donnelly

Hearing Site: New York, New York

Awards are rendered by independent arbitrators who are chosen by the parties to issue final, binding decisions. FINRA makes available an arbitration forum—pursuant to rules approved by the SEC—but has no part in deciding the award.

Nature of the Dispute: Associated Person vs. Member and Associated Person

This matter proceeded pursuant to Rule 13800 of the Code of Arbitration Procedure (“Code”).

The evidentiary hearing was conducted by videoconference.

REPRESENTATION OF PARTIES

Claimant Robert Neil Gargiulo (“Claimant”) appeared pro se.

For Respondent LPL Financial LLC (“Respondent LPL”): Rochelle Mayfield, LPL Financial LLC, Fort Mill, South Carolina.

Respondent Jane Ellen Donnelly (“Respondent Donnelly”) appeared pro se.

CASE INFORMATION

Statement of Claim filed on or about: April 8, 2025.

Robert Neil Gargiulo signed the Submission Agreement: April 8, 2025.

Amended Statement of Claim filed on or about: April 15, 2025.

Statement of Answer filed by Respondent LPL Financial LLC on or about: May 29, 2025.

LPL Financial LLC signed the Submission Agreement: June 6, 2025.

Statement of Answer filed by Respondent Jane E. Donnelly on or about: July 8, 2025.

Jane Ellen Donnelly signed the Submission Agreement: July 14, 2025.

CASE SUMMARY

In the Statement of Claim, as amended, Claimant asserted the cause of action of breach of contract. The cause of action relates to Respondents' alleged violation of the Parties' Non-Competition Agreement, dated July 27, 2022 (the "Agreement").

Unless specifically admitted in the Statement of Answer, Respondent LPL denied the allegations made in the Statement of Claim, as amended, and asserted various affirmative defenses.

Unless specifically admitted in the Statement of Answer, Respondent Donnelly denied the allegations made in the Statement of Claim, as amended, and asserted various affirmative defenses.

RELIEF REQUESTED

In the Statement of Claim, as amended, Claimant requested: liquidated damages in the amount of \$10,000.00; attorneys' fees; punitive damages in the amount of \$5,000.00; and that the Arbitrator consider extending the Agreement for a period of twelve months as part of the relief granted.

In the Statement of Answer, Respondent LPL requested: dismissal of all causes of action against Respondent LPL in their entirety; Claimant take nothing by way of his Statement of Claim; that Respondent LPL's portion of the forum fees be assessed against Claimant; that Respondent LPL be awarded its costs and expenses incurred in defending this action; and any other relief that the Arbitrator deemed just and proper.

In the Statement of Answer, Respondent Donnelly requested that this case be adjudicated without further re-litigation.

OTHER ISSUES CONSIDERED AND DECIDED

The Arbitrator acknowledges having read the pleadings and other materials filed by the parties.

On July 24, 2025, Claimant and Respondent LPL agreed to voluntarily dismiss all claims against Respondent LPL without prejudice. Therefore, the Arbitrator made no determination with respect to any of the relief requests contained in the Statement of Claim, as amended, against Respondent LPL.

On September 2, 2025, Respondent Donnelly filed a Motion to Dismiss. On September 10, 2025, Claimant filed an opposition to the Motion to Dismiss. On September 16, 2025, Respondent Donnelly filed a reply in further support of the Motion to Dismiss. On September 30, 2025, the Arbitrator heard oral arguments on the Motion to Dismiss. By Order dated October 1, 2025, the Arbitrator denied the Motion to Dismiss with prejudice.

On October 24, 2025, Claimant filed a Notice of Non-Compliant Discovery Response, Motion to Preclude and for Sanctions to which no response was filed. By Order dated October 30, 2025, the Motion to Preclude and for Sanctions was deferred until the evidentiary hearing. The Arbitrator's finding as to this motion is set forth under the Award section below.

On November 4, 2025, Respondent Donnelly filed a response to Claimant's Discovery Request, and Counterclaim. During the evidentiary hearing, the chair deemed the Counterclaim untimely and deficient. Therefore, the Counterclaim was not considered filed by the Arbitrator.

The Arbitrator has provided an explanation of the decision in this award. The explanation is for the parties' information only and is not precedential in nature.

AWARD

After considering the pleadings, the testimony and evidence presented at the hearing, and any post-hearing submissions, the Arbitrator has decided in full and final resolution of the issues submitted for determination as follows:

1. Respondent Donnelly is liable for and shall pay to Claimant the sum of \$8,757.87 in liquidated damages as defined in paragraph 5(d) of the Agreement.
2. Respondent Donnelly is liable for and shall pay to Claimant the sum of \$5,000.00 in punitive damages. Throughout this proceeding, Respondent Donnelly showed a wanton and willful disregard for the Agreement that she entered into with Claimant. This punitive damage award is granted to deter Respondent Donnelly's further and future breach of the agreements entered into by the Parties, and based on the following facts:
 - a. Respondent Donnelly admitted to servicing a client on the restricted list of clients attached as Exhibit A to the Parties' Purchase Agreement, dated March 28, 2022, yet
 - b. Respondent Donnelly testified repeatedly that she did nothing wrong, although
 - c. Respondent Donnelly testified that she was represented by two attorneys and paid to settle FINRA Case No. 24-01092, for which Claimant claimed different conduct by Respondent Donnelly violated the same Non-Compete Clause in the Agreement. See Claimant's Exhibit 10, Joint Notice of Dismissal with Prejudice, dated March 2, 2025.

The authority for the punitive damages is as follows:

The 2025 FINRA Arbitration Manual, page 69, provided the following standard for issuing a punitive damage award:

- a. Upon a Party's request (see Claimant's Amended Statement of Claim, testimony, and Hearing Exhibit 12);
- b. Purpose to deter future wrongdoing;
- c. Showing of intentional misconduct - that is willful, wanton and shows reckless indifference of the rights of others.

Here, punitive damages are appropriate because the aforementioned standard is satisfied. In addition, within a short period of time after settling a claim for one violation of the Non-Competition Agreement, Claimant filed another claim for another violation of the same Agreement. Respondent's back-to-back violations and her conduct during the proceeding revealed a lack of understanding of the terms of the Non-Competition Agreement (Claimant's Exhibit 5) that she entered into with Claimant, and a palpable disdain for her responsibility to comply with the provisions of the Non-Competition Agreement that she voluntarily entered into.

3. Respondent Donnelly is liable for and shall pay to Claimant interest on the above-stated sums at the rate of 9% per annum from 30 days after the date of this Award through and including the date the Award is paid in full.
4. Respondent Donnelly is liable and shall comply with all the provisions of the agreements she entered into with Claimant, including the Agreement, for its duration, which is extended by twelve months by this Award, to end on July 27, 2026.
5. Respondent Donnelly is liable for and shall pay to FINRA Dispute Resolution Services the total sum of \$1,800.00 in hearing session fees, as set forth in the Hearing Session Fees and Assessments section below, as discovery-related sanctions in relation to Claimant's October 24, 2025, Notice of Non-Compliant Discovery Response, Motion to Preclude and for Sanctions.
6. Any and all claims for relief not specifically addressed herein, including any requests for attorneys' fees, are denied.

FEES

Pursuant to the Code, the following fees are assessed:

Filing Fees

FINRA Dispute Resolution Services assessed a filing fee* for each claim:

Initial Claim Filing Fee	=\$ 425.00
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**The filing fee is made up of a non-refundable and a refundable portion.*

Member Fees

Member fees are assessed to each member firm that is a party in these proceedings or to the member firm that employed the associated person at the time of the event(s) giving rise to the dispute. Accordingly, as a party, Respondent LPL is assessed the following:

Member Surcharge	=\$ 495.00
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Hearing Session Fees and Assessments

The Arbitrator has assessed hearing session fees for each session conducted. A session is any meeting between the parties and the Arbitrator, including a pre-hearing conference with the Arbitrator, which lasts four (4) hours or less. Fees associated with these proceedings are:

Three (3) pre-hearing sessions with a single Arbitrator @ \$450.00/session	=\$ 1,350.00
Pre-Hearing Conferences: September 4, 2025	1 session
September 30, 2025	1 session
October 16, 2025	1 session

One (1) hearing session @ \$450.00/session		= \$ 450.00
Hearing:	November 6, 2025	1 session

Total Hearing Session Fees	= \$ 1,800.00
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The Arbitrator has assessed the total hearing session fees to Respondent Donnelly.

All balances are payable to FINRA Dispute Resolution Services and are due upon receipt.

ARBITRATOR

Denise L. Quarles

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Sole Public Arbitrator

I, the undersigned Arbitrator, do hereby affirm, pursuant to Article 7507 of the Civil Practice Law and Rules, that I am the individual described herein and who executed this instrument, which is my award.

Arbitrator's Signature

Denise L. Quarles

Denise L. Quarles
Sole Public Arbitrator

12/30/2025

Signature Date

Awards are rendered by independent arbitrators who are chosen by the parties to issue final, binding decisions. FINRA makes available an arbitration forum—pursuant to rules approved by the SEC—but has no part in deciding the award.

December 30, 2025

Date of Service (For FINRA Dispute Resolution Services use only)